

Olevel economics

chp:- Demand and Supply

Topic:- PED and Total revenue



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Price Elasticity of demand and Total revenue

* Difference between profit, sales and revenue

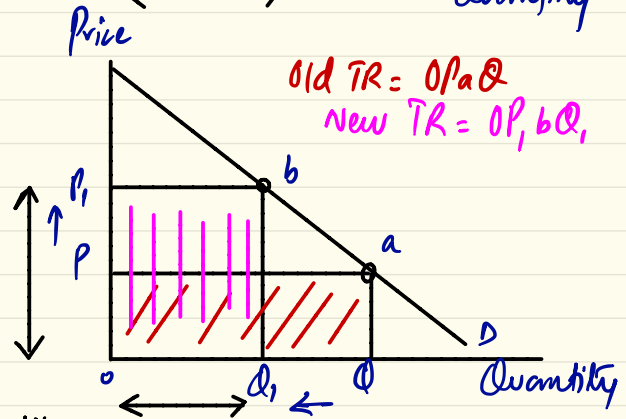
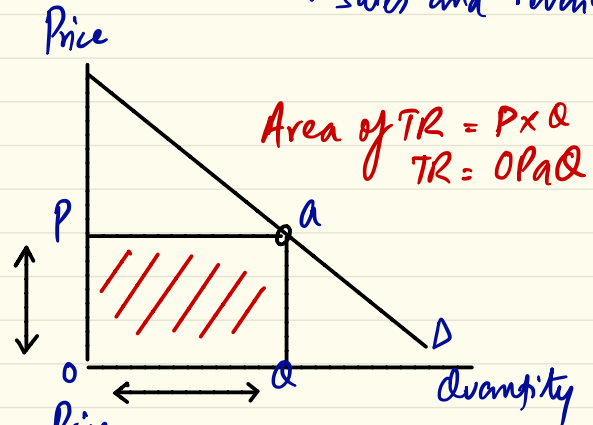
Total revenue

↓
Total income of the producer

$$TR = \text{Price} \times \text{Quantity} \rightarrow \text{sales}$$

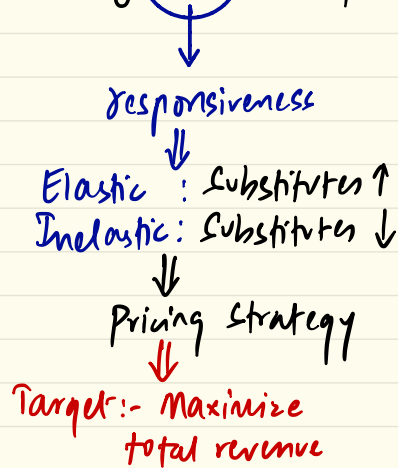
$$45 \times 100 \Rightarrow \$500$$

Total revenue	=	Total Expenditure
↓		↓
Amount received by the producer		Amount paid by the consumers



Note:- Total revenue is equal to total Expenditure

Usefulness of PED to a producer

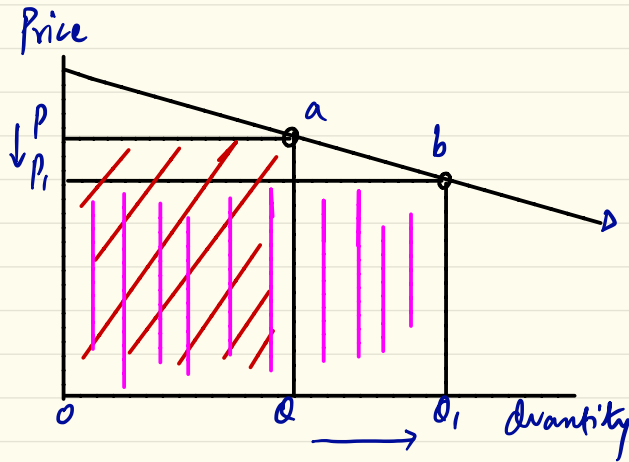


Note:- A producer will always aim to maximize its total revenue, for which it will utilize the information of price elasticity of demand, and plan separate pricing strategy to maximize total revenue.

Note:- Price discrimination, charging different prices to different customers for the same product, reasons not associated with cost, it depends on price elasticity of demand.

If demand is elastic :-

Price $\downarrow$ $QD \uparrow$ $TR \uparrow$



Old TR :- $OPaQ$

New TR :- OP_1bQ_1

(you need to write this in a sentence form)

Note:- In case of elastic demand, where a small change in price brings a larger percentage change in quantity demanded because of availability of substitutes, a producer will reduce the price by smaller percentage which will extend quantity demanded by greater percentage, as shown in the diagram.

* Initial revenue for the firm was $OPaQ$ and the new revenue is OP_1bQ_1 , shows that the revenue increased

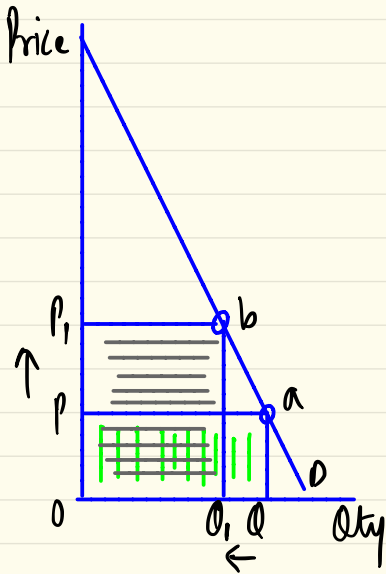
Price $\downarrow$ $QD \uparrow$ $TR \uparrow$ | $TE \uparrow$

Price $\uparrow$ $QD \downarrow$ $TR \downarrow$ | $TE \downarrow$

Initially total revenue was $OPaQ$, after reduction in price, it is OP_1bQ_1 , so total revenue increased.

If demand is inelastic :-

Price $\uparrow$ $Q_d \downarrow$ $TR \uparrow$



old TR :- $Opac$
 New TR :- $Op1bca$
 $TR \uparrow$

(you need to write
 this in a sentence
 form)

Note:- In case of inelastic demand, where a larger change in price brings a smaller percentage change in quantity demanded, due to availability of less substitutes, a producer will increase the price by greater percentage which will contract quantity by smaller percentage, causing a rise in total revenue.

Price $\uparrow$ $Q_d \downarrow$ $TR \uparrow$ | $TE \uparrow$

Price $\downarrow$ $Q_d \uparrow$ $TR \downarrow$ | $TE \downarrow$

Questions (H.w #5)

Marks:- 18

- Q1 Define total revenue ? 2
- Q2 Define price discrimination ? 2
- Q3 Explain the aim of a producer ? 2
- Q4 Explain how a producer can maximize its total revenue if demand for the product is elastic ? 6 (Draw diagram)
- Q5 Explain how a producer can maximize its total revenue if demand for the product is inelastic ? 6 (Draw diagram)

Note:- you won't be asked in the exam to draw the diagram, it's your USP, use wherever possible.



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